

Such a policy of demanding very high safety margins would obviously prove especially beneficial if a period of acute depression and market unsettlement should supervene. It is not practicable, however, to recommend this as a standard practice for all investors, because the supply of such strongly buttressed issues is too limited, and because, further, it is contrary to human nature for investors to take *extreme* precautions against future collapse when current conditions make for optimism.⁴

Policy in Depression. Assuming that the investor has exercised merely reasonable caution in the choice of his fixed-value holdings, how will he fare and what policy should he follow in a period of depression? If the depression is a moderate one, his investments should be only mildly affected marketwise and still less in their intrinsic position. If conditions should approximate those of 1930–1933, he could not hope to escape a severe shrinkage in the quotations and considerable uneasiness over the safety of his holdings. But any reasoned policy of fixed-value investment requires the assumption that disturbances of the 1930–1933 amplitude are nonrecurring in their nature and need not be specifically guarded against in the future. If the 1921–1922 and the 1937–1938 experiences are accepted instead as typical of the “recurrent severe depression,” a carefully selected investment list should give a reasonably good account of itself in such a period. The investor should not be stampeded into selling out holdings with a strong past record because of a current decline in earnings. He is likely, however, to pay more attention than usual to the question of improving the quality of his securities, and in many cases it should be possible to gain some benefits through carefully considered switches.

The experiences of the 1937–1938 “recession” offer strong corroboration of the foregoing analysis. Practically all senior securities that would have met our stringent requirements at the end of 1936 came through the ensuing setback without serious damage marketwise. But bonds that have sold at high levels despite an inadequate over-all earnings coverage—particularly a large number of railroad issues—suffered an enormous shrinkage in value. (See our discussion in Chap. 7 and also Appendix Notes 11 and 13.)

⁴ We must caution the reader, however, against assuming that very large coverage of interest charges is, in itself, a complete assurance of safety. An operating loss eliminates the margin of safety, however high it may have been. Hence, inherent stability is an essential requirement, as we emphasize in our Studebaker example given in Chap. 2.